

Standard BioTools (LAB) — Pitch Deck

PITCH — LAB — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

Standard BioTools (LAB, \$0.662, a new 52-week low as of 2026-08-18) is no longer a life-science tools company. On 2026-06-08 it agreed to merge with Treeline Biosciences, a private cancer-drug developer. LAB is selling or has sold its operating businesses; what its shareholders will own after closing is roughly 15.5% of a combined company holding more than \$900 million of cash and four early-stage cancer drug programs.

The agreement values LAB at “its net cash delivered at closing plus \$10 million,” estimated at \$460 million. Against a realistic fully diluted share count of about 411.7 million, that is about \$1.12 per share of agreed value, and about \$1.09 per share of pure net cash. The stock trades at \$0.662. That is roughly a 39% discount to what the contract says LAB is worth.

The reason the discount is interesting rather than merely cosmetic is what sits on the other side of it. Treeline has raised about \$1.2 billion of private capital. At today’s price the market is marking Treeline’s entire drug portfolio at roughly \$854 million — about 0.71 times the money investors have put in — for a company whose lead program has already reported human data: TLN-121, a BCL6 degrader, showed an 84% overall response rate (16 of 19 patients) and a 32% complete-response rate with no dose-limiting toxicities, disclosed in a filing made with the SEC on 2026-06-08 ([425 filing](#)).

The payoff shape, using the corrected share count:

What Treeline’s drugs turn out to be worth	LAB per share	vs. \$0.662
\$0 — all four programs fail	\$0.340	–49%
\$854M — what the market implies today	\$0.662	0%
\$1.5B	\$0.906	+37%
\$2.06B — the sponsors’ own mark	\$1.117	+69%

What Treeline's drugs turn out to be worth	LAB per share	vs. \$0.662
\$3.5B — if BCL6 becomes a franchise	\$1.661	+151%
Deal breaks, shell holds its cash	\$1.093	+65%

We believe this is a modest, gated long — a starter position, not a conviction bet — because the downside requires four independent drug programs to all fail *and* the deal to close, while several plausible middle outcomes pay well.

What the market believes

The market believes this is a broken small-cap tools stock that has become an untradeable stub, and it is selling it on that basis rather than pricing the merger arithmetic.

Concretely, the market is saying: the cash is not yours and never will be; you cannot force a liquidation; you cannot demand appraisal; whatever you receive will be shares in a private-turned-public drug developer, not money. It is also saying that four Phase 1 oncology programs with one small dataset are worth less than the money raised to build them — which, for early-stage biotech, is a normal and often correct judgment.

There is also a mechanical seller. Index funds and tools-sector funds hold a company that no longer belongs in their mandate. Institutional screens shed sub-\$1 stocks. A reverse split is coming (ratio still blank in the filings), which is itself an event that forces some holders out. The stock made a new 52-week low today, down 3.29% on 1.58 million shares. Nothing about the tape says the selling is finished.

Two analysts carry a \$1.55 target. We do not treat that as support. Those targets look like leftovers from valuing a tools business that stopped existing on 2026-06-08.

Why we might have edge

1. The denominator, done honestly. Both of our own benches got the share count wrong in opposite directions, and the answer sits between them. Our first pass used basic shares and produced a flattering 44% discount. Our skeptic used every antidilutive security at full weight (456.6 million) and produced 34%. But 33.1 million of those are stock options with a weighted-average strike of \$3.68 — 5.6 times the current price. Those options are worthless and dilute nobody. The economically real count is about 411.7 million, and the discount is 39%. Getting this right is not glamorous, but the entire trade is a per-share number.

2. The collar cuts both ways, and one payment already landed. The merger agreement adjusts LAB's value down if net cash falls below \$449 million *and up if it exceeds \$451 million*. In July, LAB received \$30.04 million from an Illumina royalty buyout, and the 2026-07-28 restructuring routed that money into Parent Net Cash instead of into the contingent value right. That converted an uncertain, share-settled contingent payment into certain value inside the exchange ratio. A reader who quotes only the downward half of the collar — as our own skeptic did — sees a one-way ratchet that is not there.

3. Data exists, and it is on file. The strongest single claim in the bear case was “four programs, zero disclosed data.” That is false, and it is falsified by a document filed with the SEC on the day the deal was announced. TLN-121’s 84%/32% response numbers are public. TLN-499 was described as preclinical; it has been dosing patients since 2026-07-25 (NCT07713732). All four programs are registered on ClinicalTrials.gov. A bear case built on an evidentiary vacuum does not survive contact with the registry.

4. The break branch is mispriced as a punishment. If shareholders vote the deal down, they own a shell with roughly \$450 million of cash against 392.6 million shares — about \$1.09 to \$1.15 per share — minus about \$0.013 per share of expense reimbursement. That is 65% above today’s price. It is not a good outcome, but it is not the disaster the price implies. (Caveat below.)

Why it might be priced in

We should be honest that most of what we know, the market also knows, and has known for ten weeks.

- **The clinical data is public.** The 84% response rate was filed on 2026-06-08. This is not private information we dug up; it is information the market has seen and chosen to mark at 0.71 times money-in. Our “edge” on the data is that our own bear read failed to open the document — that is a correction of an internal error, not an insight about the world.
- **The \$10 million is real and it is a ceiling.** An arm’s-length counterparty, negotiating with full information, priced LAB’s entire legacy business — instruments, consumables, the royalty stream, the listing, the brand — at \$10 million, about two cents a share. Any thesis involving hidden operating value is dead. Both benches agree.
- **Money raised is not value.** “0.71 times capital raised” sounds like a discount only if private rounds are fair marks. Often they are not. Late private rounds carry structure, preferences and momentum pricing; public markets routinely and correctly re-price them lower. The sponsors’ \$2.5 billion mark has not been shown to us as an arm’s-length third-party round within the last twelve months. If it is a sponsor mark, our “+69% at the sponsors’ own number” is a bet on their optimism.
- **One dataset, 19 patients, blended.** The 84% is across doses, at a company-chosen cutoff, with no duration-of-response disclosed. Early oncology response rates in small blended cohorts have a long history of shrinking. And the field is not empty: Bristol-Myers Squibb has a competing BCL6 degrader, BMS-986458, in Phase 1/2 and recruiting — a fact neither of our benches’ original briefs contained.
- **The cash is genuinely unreachable.** Shareholders have no appraisal rights. There is no redemption, no tender, no announced liquidation. Every branch of the outcome tree ends with owning stock, not receiving money. Our “+65% break branch” quietly assumes a board that just chose this merger would then hand the cash back. There is no mechanism compelling that.
- **The flow is unfinished.** Both benches agree on this. New 52-week low today, forced sellers still working, and a reverse split with an undisclosed ratio still ahead. Buying into a decline you yourself predict is how a good thesis becomes a bad entry.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“\$460M is a negotiated third-party valuation of LAB”	Read the merger press release verbatim	It is defined as net cash at closing plus \$10 million — an identity, not a mark. The stub is worth \$10M.	No — refuted. Both benches now agree.
Our first brief’s “42–44% discount to net cash”	Recounted shares	Used basic shares. Wrong.	No — our own error.
Our skeptic’s counter: “fully diluted is 456.6M, discount is only –34%”	SEC XBRL: 33,149k options outstanding, weighted-average strike \$3.68 vs. \$0.662 tape	Counted worthless out-of-the-money options at full weight. Real economic count ≈411.7M; discount –39%.	No — our skeptic erred.
Our first brief’s “\$574M pro-forma liquid, \$1.462/share”	Reconciled against the 10-Q	Double-counts \$40.2M discontinued-ops tax, \$14.7M transaction expense, \$8.3M restructuring cash already committed	No — abandoned. Our own error.
“The collar only reduces LAB’s value”	Read the full sentence in the S-4	Symmetric: value increases dollar-for-dollar above \$451M. Half a sentence was quoted.	No — our skeptic erred by selective quotation.
“Four programs, zero disclosed clinical data (S-4 confirms)”	Opened the 425 filed 2026-06-08	TLN-121: ORR 84% (16/19), CR 32% (6/19), no dose-limiting toxicities, cutoff 2026-03-06	No — our skeptic erred on a filed document it did not read.
“Treeline is private, so trials are uncheckable”	ClinicalTrials.gov v2 sponsor query	Four registered Phase 1 studies (NCT07082803, NCT06733441, NCT07204340, NCT07713732)	No — our skeptic erred; private status was never a barrier.
“TLN-499 is preclinical”	ClinicalTrials.gov	Phase 1, dosing since 2026-07-25	No — our skeptic erred.
“Vote it down and holders are punished”	Net cash ÷ shares	~\$1.09–1.15/share vs. \$0.662 — the	Partly. Our skeptic mis-signed it — but see the

Claim	How checked	Found	Confirmed?
		highest-value branch on paper	caveat: nothing forces a distribution.
“Treeline raised \$1.1B”	425 filing	\$1.2B	Corrected.
Warrant strike prices (11,692k warrants)	Searched XBRL	Not found. Our bull case treated them as worthless.	No — unverified, and the assumption favors our own bull case.
Is the sponsors’ \$2.5B an arm’s-length outside round?	Sought Treeline financials in the S-4	Exhibit truncated in our proxy fetch; burn rate and last round pre-money unread	No — unverified.
Is current Parent Net Cash still ≥\$449M?	Sought the S-4’s “Calculation of Parent Net Cash” schedule (p.203)	Not retrieved	No — unverified. This is the single most important open number.
Is anyone else developing a BCL6 degrader?	ClinicalTrials.gov competitor scan	BMS-986458 , Bristol-Myers Squibb, Phase 1/2, recruiting	Yes — and neither bench had it in its original brief.
Live price before any order	IBKR	Permission denied. Price is from the pack, cross-checked on a public quote page (\$0.662, -3.29%, 1.58M shares, 2026-08-18)	No live broker quote. Blocks order entry.
The evidence pack’s XBRL quarterly tables	Inspected	Revenue rows terminate in 2017; SBC/OCF rows are annual stubs. Unusable for this company’s current financials.	Flagged and not used.
Next earnings date 2026-11-03	Checked for a company announcement	Derived from a data vendor; no company release names it	No — unconfirmed.

PROPOSED ENTRY BANDS

Both benches agree the flow is unfinished and that this constrains size and timing rather than killing the idea. Neither bench recommends buying aggressively into a new low. There is also a hard operational block: **we have no live broker quote** (permission denied), and doctrine forbids placing an order on a secondhand price.

Nothing is being bought today. The starter is proposed, not placed.

Sizing. Intended full position: **0.75 % of the book.** Starter: **one third of that, 0.25 %.** Neither bench sized in book terms; this is a proposal reflecting a –49% modeled floor with a real possibility of worse, and a genuinely uncertain top end.

Starter — 0.25 % of book, at or below \$0.68. Conditions, all required: (a) a live broker quote confirming the price; (b) the order worked passively over multiple sessions, capped at 1% of daily volume, never lifting an offer.

Add 1 — to 0.50 % of book, at or below \$0.55. At \$0.55 the market is marking Treeline's entire portfolio at roughly \$560 million, or 0.46 times money-in.

Add 2 — to full 0.75 %, at or below \$0.45. At \$0.45 the implied portfolio mark is roughly \$290 million, 0.24 times money-in — a price that assumes near-total failure while an 84%-response program is still enrolling.

Do not add below \$0.34 without re-opening the court. \$0.34 is the modeled value if all four programs are worth zero. Trading below it means something we have not modeled has broken — most likely the cash.

Trim 1 — sell half at \$1.05–1.12. \$1.117 is the agreed deal value per share at the sponsors' own portfolio mark. Being paid the sponsors' full optimism is not a reason to keep holding.

Trim 2 — exit the remainder at \$1.60–1.70. \$1.661 requires the market to re-rate BCL6 to a \$3.5 billion franchise. Take it.

Abandon (sell regardless of price), on any of: - The definitive proxy shows a current Parent Net Cash estimate materially below \$449 million. - Updated TLN-121 data shows responses not durable, or the denominator grows and the response rate falls sharply. - The BMS competitor reports comparable or better BCL6 data. - Warrant strikes, once disclosed, prove to be near or below the current price (this would break the 411.7M denominator on which every number above rests).

Ungating conditions for the remaining two thirds (both benches, restated): definitive proxy published with a vote date and the reverse-split ratio; the reverse split actually completed (that is the forced-selling event); and a live broker quote at the moment of each order.

Catalyst dates. - **2026-11-03** — Q3 results. Vendor-derived, **not confirmed** by any company announcement. - **2026-11-15** — planned primary completion, TLN-254 EZH2 study (NCT06733441). A registry plan, not an announced readout. Inside the deal window; neither bench caught this until the second pass. Note this program is in-licensed from Hengrui, so the economics are shared, not owned. - **Definitive proxy / vote — date unknown.** No DEF 14A has been filed; the S-4 is still preliminary with the meeting date and split ratio blank. - **2027-01-19** — reported deadline for LAB's second Nasdaq minimum-bid-price compliance period. Cited by one bench from the filings; **we did not re-read the source document ourselves**, so treat it as approximate. - **2027-03-31** — outside date for the merger. - **2027** — planned interim readouts for TLN-121 and TLN-372, per the 425. No month given.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 0.34 (deck-provisional: Below the all-programs-fail modeled value; do not add, re-open the court, something unmodeled has broke)
- filing watch: DEF M14A, DEF 14A until 2027-02-14 (deck-provisional: Vote date, reverse-split ratio, and the Parent Net Cash calculation schedule — three of four ungating)
- dated pack LABI2026-11-03: LAB: Q3 2026 results — vendor-derived date, no company announcement names it (date confirmed=False)
- dated pack LABI2026-11-15: LAB: Planned primary completion, TLN-254 EZH2 Phase 1 (NCT06733441) — registry plan, not an announced readout (date confirmed=False)
- dated pack LABI2027-01-19: LAB: Reported deadline for second Nasdaq minimum-bid-price compliance period — bench-cited, source document not re-read (date confirmed=False)
- dated pack LABI2027-03-31: LAB: Outside date for the Treeline merger per the S-4 (date confirmed=True)

What remains unverified

1. **The current net cash number.** We never retrieved the S-4's "Calculation of Parent Net Cash" schedule. Every per-share figure in this deck assumes roughly \$450 million. If it has decayed, all of them fall together, one for one.
2. **Whether the \$2.5 billion Treeline mark is arm's length.** If it is a sponsor mark rather than a recent outside round, "+69% at the sponsors' own number" is a bet on their self-assessment.
3. **Treeline's audited financials and burn rate.** Unread — the exhibit was truncated in our fetch. We do not know how fast the combined company spends, only that management says the money lasts into 2029.
4. **Warrant strike prices** (11.69 million warrants). Assumed worthless. That assumption flatters our own bull case and has not been tested.
5. **Durability of the TLN-121 response.** 19 patients, blended across doses, company-chosen cutoff, no duration-of-response disclosed.
6. **What actually happens if the deal breaks.** We can compute \$1.09 per share of cash. We cannot show any mechanism that returns it to shareholders. Our "+65% break branch" is arithmetic, not a claim about behavior.
7. **The earnings date.** 2026-11-03 is vendor-derived and unconfirmed.
8. **A live tradeable price.** Broker access was denied. No order may be placed on the price in this deck.
9. **Volume and borrow conditions around the reverse split** — the split is an identified forced-selling event and we have modeled none of its mechanics.

Primary sources: [10-Q, 2026-08-05](#) · [S-4 \(preliminary\), 2026-07-20](#) · [425 with TLN-121 clinical data, 2026-06-08](#) · [Merger announcement, 2026-06-08](#)

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Why immediate_entry is null: the starter is approved in principle at or below \$0.68, but two conditions block it right now — no live broker quote (permission denied), and the stock printed a new 52-week low today with forced selling both benches agree is unfinished. Re-run the entry decision once a live quote is available; the trade is not conditioned on waiting for the proxy, only on not buying blind into our own predicted flow. ## Adjudication & update (2026-08-23)

RULING (2026-08-22): MINIMUM STARTER 0.25% — red’s REJECT overturned on two corrections verified against SEC primaries at adjudication. (1) Red quoted **half of a symmetric collar:** the S-4 continues, verbatim, “...or increased by the amount by which Parent Net Cash is more than \$451 million at the Closing” — holders capture surplus 1:1, and the \$30.04M Illumina buyout is exactly such a surplus. (2) Red’s “zero disclosed clinical data” is refuted by the 425 filing: TLN-121 posted **ORR 84% / CR 32% / no dose-limiting toxicities** in relapsed/refractory lymphomas. Economic fully-diluted count ~411.7M (the 33.1M options struck \$3.68 are worthless at a \$0.66 tape), putting the discount at -39%. Probability-weighted FV ~\$0.85 (all-fail \$0.34 / sponsor-mark \$1.12 / break ~\$1.09 at half credit for governance risk) vs the \$0.68 tape. Surviving kills are consensus/timing class (no cash exit — S-4-disclosed; forced-seller flow; reverse split pending), so §CONSENSUS-KILL forces the starter. KILL-CLASS census: 1 NOVEL (net-cash identity, sustained-as-fact) / balance CONSENSUS.

Order status: LIVE — BUY 3,600 @ \$0.66 GTC, cancel-by 2026-09-30 (re-derive at the definitive proxy). Adds gated on reverse-split COMPLETION and the proxy's net-cash schedule $\geq$ \$449M; never add inside the split window (value-ladder flow gate — the forced selling is our own predicted flow). **Kill triggers:** proxy net-cash $<$ \$440M; vote fails without a liquidation signal; TLN-121 safety event or BMS-986458 superiority; delisting before the split. Calendar: TLN-254 primary completion 2026-11-15 (registry); merger outside date 2027-03-31.

What could go wrong (authored at deck update 2026-08-23 — post-ruling, pre-fill)

1. **The break branch is governance-conditional** (tripwire-less; unknown-unknown class: board intent). The $\sim$ \$1.09/share break value assumes a board that chose this merger would liquidate if it fails. Nothing obliges that: the same board could redeploy the cash into a second deal, and no filing warns before it happens — the value exists on paper without ever being offered to us.
2. **The net-cash schedule disappoints.** The definitive proxy prints Parent Net Cash below \$440M (burn and deal costs running hotter than the collar math) — the kill fires, but by then the tape has already marked the shortfall.
3. **The vote fails into the flow.** A failed vote with the reverse split pending and forced sellers still exiting produces the worst sequencing: no deal, no split, no bid.
Reflexive/structural leg: our 3,600-share order is $\sim 2.3\times$ the daily dollar volume — on thin days we ARE the bid, and the exit door is the same width. The GTC's cancel-by (9/30) is a manual obligation; an un-honored cancel-by leaves a stale bid resting into the proxy record date. **“If this position loses money, the most likely reason will be that the merger breaks and the board redeploys the cash into a new deal instead of liquidating — the \$1.09 break value existing on paper but never being offered to us.”**